Project Heron: proposed acquisition of Lumen Ledger, Lda

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Field	Detail
Paper	B26/10/04, for the board meeting on Tuesday 20 October 2026
From	Daniel Reyes (Chief Financial Officer) and Helen Marsh (General Counsel)
To	Board of Directors, Kestrel Pay Ltd
Date	24 September 2026
Decision sought	Approve the acquisition of 100% of Lumen Ledger, Lda at an enterprise value of £86m

1. Recommendation

We recommend that the board approves the acquisition of the whole share capital of Lumen Ledger, Lda ("Lumen") for an enterprise value of £86m on a cash-free, debt-free basis, and authorises the CEO and CFO to sign the share purchase agreement (SPA) on the terms in section 5.

If the board approves on 20 October, we will sign on Friday 23 October and complete on Tuesday 1 December 2026.

The price is the same as the non-binding offer the board approved on 22 July 2026. Due diligence found nothing that justifies a change. The two open items in section 6 are covered by an escrow and a specific indemnity.

2. Why Lumen

- Lumen makes cloud bookkeeping and invoicing software for small businesses in Portugal and Spain. Its invoicing module is certified by the Portuguese tax authority (AT), and it produces the SAF-T files every Portuguese business has to submit.
- Our merchants keep asking for bookkeeping inside Kestrel Accounts. In the Q2 merchant survey, 41% of Kestrel Accounts customers said they pay for a separate bookkeeping tool and would switch to one built in. Building our own would take 18 to 24 months and would still need AT certification.
- Lumen gives us a base in Iberia. We have 3,940 merchants in Portugal and 1,120 in Spain. Lumen has 6,200 paying customers, and only about 300 of them use Kestrel today.
- Lumen's 74 staff work in Lisbon (66) and Porto (8). Our Lisbon office already has 172 people, so the two teams can share one site from 2027.

3. Lumen at a glance

Measure	Value	Note
Founded	2020	By Inês Carvalho (CEO) and Rui Tavares (CTO)
Employees	74	31 in engineering
Paying customers	6,200	71% Portugal, 29% Spain
ARR at 31 August 2026	€9.8m	About £8.4m at 0.855
ARR growth, year on year	61%	
Net revenue retention	118%	
Gross margin	79%	
EBITDA, last 12 months	€(7.4)m	Loss
Monthly net burn	€0.9m	
Cash at 31 August 2026	€10.1m	About 11 months of runway

4. Valuation

At £86m we pay 10.3 times current ARR. European SME software deals in the last 24 months were done at 8 to 12 times ARR (Hartwell Moss comparables, appendix B of their report). Our discounted cash flow on the base case, without synergies, gives a range of £79m to £97m (discount rate 14%, terminal growth 3%). With synergies the base case rises to £112m.

Synergy	2027	2028	Confidence
Bookkeeping add-on sold in Kestrel Accounts (ARR)	£1.2m	£3.9m	Medium
Kestrel Accounts sold to Lumen customers (ARR)	£0.6m	£2.6m	Medium
Shared Lisbon office (cost, per year)	£0.3m	£0.6m	High
Lumen hosting moved to our Ashgrove contract (cost, per year)	£0.2m	£0.5m	High

That is £6.5m of revenue synergies (ARR) by the end of 2028 and £1.1m a year of cost savings from 2028. We have not paid for synergies: the price sits inside the stand-alone DCF range.

5. Proposed terms

Term	Proposal
Enterprise value	£86m, cash-free and debt-free
Cash at completion	£54m, less the escrow
Consideration shares	£20m in Kestrel ordinary shares to the two founders, locked up for 24 months (about 1.9% of the fully diluted share capital)
Earn-out	Up to £12m in cash, paid in Q2 2028 if Lumen's ARR is at least €18m at 31 December 2027; paid pro rata between €15m and €18m; nothing below €15m
Escrow	€1.5m of the cash consideration, held for 18 months
Specific indemnity	Uncapped, for the 2022 Portuguese tax audit (section 6)
Warranty cover	Warranty and indemnity insurance with an £8.6m limit (10% of EV) and a £430k excess
Founders	Inês Carvalho and Rui Tavares sign 3-year service agreements; good and bad leaver terms apply to their earn-out share
Retention pool	£2.4m over 2 years for 12 named key staff, paid outside the purchase price
Long-stop date	31 January 2027
Governing law	England and Wales for the SPA; Portuguese law for the quota transfer deed

Funding. The £54m paid at completion comes from £24m of our own cash and £30m drawn on a new five-year acquisition term loan from Tamar Bank plc at SONIA plus 4.25%. Tamar Bank sent a credit-approved term sheet on 16 September. Cash was £70.8m at 31 August; after completion we expect about £46m, which is above the board's minimum liquidity floor of £35m. If the earn-out is paid, it comes from operating cash in 2028.

Walk-away points. Management will not sign if the AT tax exposure is assessed at more than €1m, or if either founder does not sign a service agreement.

6. Due diligence findings

Reports arrived on Friday 18 September 2026 from Carrow Finch LLP (legal, UK), Almeida Reis & Associados (legal, Portugal) and Hartwell Moss LLP (financial and tax). Priya Nair carried out the technology review in the data room and in two sessions with Lumen's CTO.

Area	Finding	Rating	Response
Tax	Open AT audit of Lumen's 2022 corporate income tax (IRC) return; possible exposure €0.4m plus interest	Amber	Specific indemnity and €1.5m escrow
Commercial	3 customer contracts, about 2% of ARR, let the customer terminate on a change of control	Amber	Founders to ask for waivers before completion; not a condition
Technology	Hosting in a single region with no tested disaster recovery	Amber	Move onto our AWS estate, run by Ashgrove, within 6 months of completion, paid from the integration budget
Data protection	Records of processing incomplete for the Spanish business; no breaches ever reported	Green	Fix within 60 days of completion
People	The CTO is the only person who fully understands the AT-certified invoicing engine	Amber	Retention pool and 3-year service agreement
Financial	Revenue recognition is sound; ARR checked line by line against billing data	Green	None
Regulatory	Lumen is not regulated, so no approval is needed. We must tell the FCA about a new close link within 14 days of completion	Green	Helen Marsh to file by 15 December 2026

7. Risks

- **Integration.** Lumen's product has to join Kestrel Accounts without slowing either roadmap. The integration plan sets out a 100-day programme led by the CFO, with its own budget of £3.1m in 2027.
- **Earn-out behaviour.** An ARR earn-out can tempt sellers to discount. The SPA defines ARR to exclude discounts above 20% and contracts shorter than 12 months.
- **Spain.** Spanish e-invoicing rules (Verifactu) need product work in 2027. Lumen has a plan and two engineers on it.
- **Currency.** Lumen earns and spends in euros. The price is fixed in sterling, so we will not hedge it.
- **Exec time.** Integration overlaps with FY2027 planning. Jonas Berg will add Lumen to the FY2027 budget once the deal is signed and he has been briefed.

8. Costs and confidentiality

Deal costs so far are £512k against the £650k due diligence budget approved in July. We expect £1.4m in total, including SPA work and the insurance premium. The costs sit in restricted cost centre 9901, which only the CFO and the Financial Controller can see. Under FRS 102 we hold them on the balance sheet until completion and add them to the cost of the acquisition; if the deal does not go ahead, they are written off in that month.

Helen Marsh keeps the insider list. It has 8 names at Kestrel: the four executives, Tom Whitfield (for finance integration planning) and our three non-executive directors. Nobody else is to be briefed before signing. We will tell staff and customers on completion day, not at signing, unless the deal leaks first.

9. Decisions for the board

The board is asked to:

1. approve the acquisition of Lumen Ledger, Lda on the terms in section 5, at an enterprise value of no more than £86m;
2. approve the £30m acquisition term loan from Tamar Bank plc;
3. approve the issue of consideration shares worth £20m to the founders;
4. authorise Amara Okafor and Daniel Reyes to sign the SPA and all related documents.

Appendix A: timeline

Date	Step
10 June 2026	Mutual NDA signed (KPC-2026-0298, restricted entry)
22 July 2026	Board approves a non-binding offer at £86m
24 July 2026	Offer letter sent to the founders
3 August 2026	Exclusivity agreed until 30 November 2026
18 September 2026	Due diligence reports received
20 October 2026	Board vote
23 October 2026	Target signing
1 December 2026	Target completion (Day 1 of integration)
31 January 2027	Long-stop date